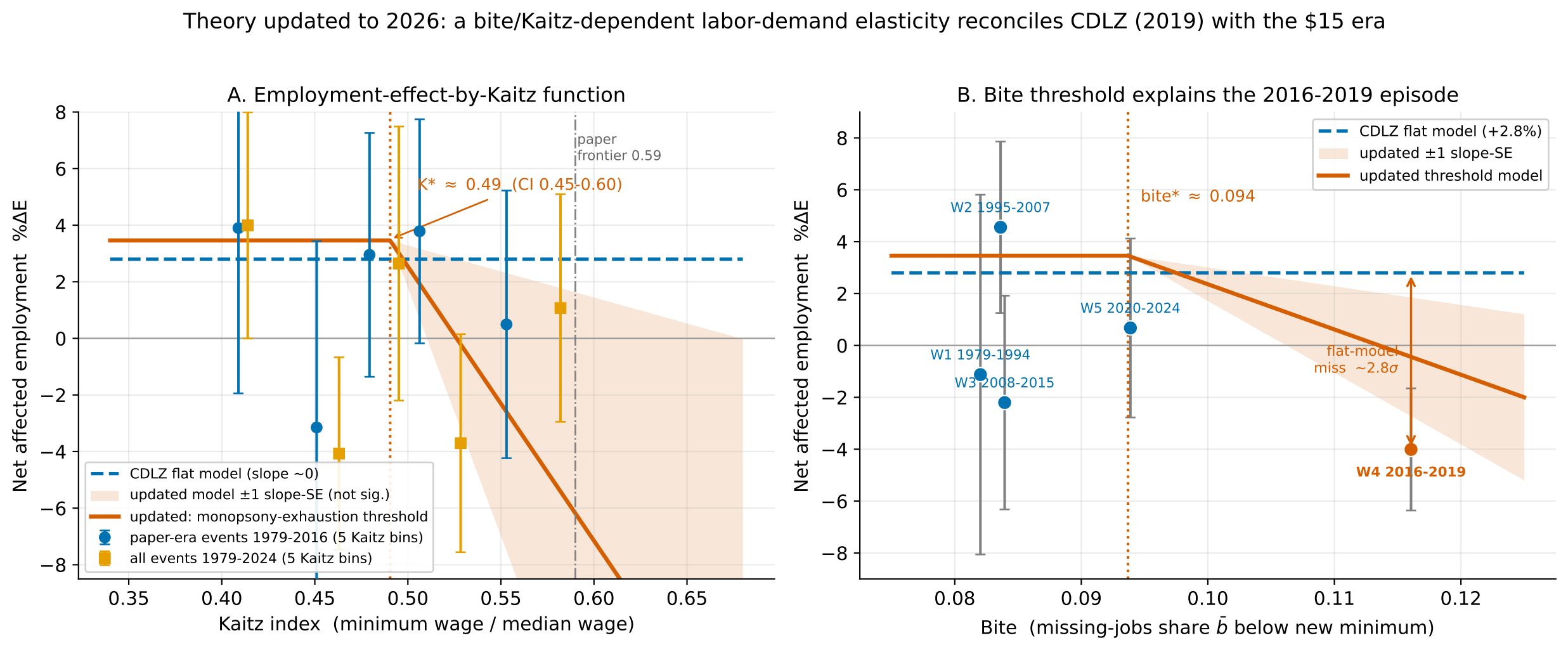
Theory updated to 2026: a bite/Kaitz-dependent labor-demand elasticity reconciles CDLZ (2019) with the $15 era
A. Employment-effect-by-Kaitz function
paper frontier 0.59
K* ≈ 0.49 (CI 0.45-0.60)
CDLZ flat model (slope ~0)
updated model ±1 slope-SE (not sig.)
updated: monopsony-exhaustion threshold
paper-era events 1979-2016 (5 Kaitz bins)
all events 1979-2024 (5 Kaitz bins)
Net affected employment %ΔE
Kaitz index (minimum wage / median wage)
B. Bite threshold explains the 2016-2019 episode
CDLZ flat model (+2.8%)
updated ±1 slope-SE
updated threshold model
bite* ≈ 0.094
W2 1995-2007
W5 2020-2024
W1 1979-1994
W3 2008-2015
flat-model miss ~2.8σ
W4 2016-2019
Net affected employment %ΔE
Bite (missing-jobs share b̄ below new minimum)